

Aby Rosen's \$81.5M Sale Shows the Price of Empty Trophy Assets

The deal reveals how vacancy compresses basis, even for landmarks with a story.

The most telling number in Aby Rosen's contract to sell 281 Park Avenue South is not the \$81.5 million price. It is the \$135 million he wanted four years ago. Rosen's RFR is in contract to sell the 42,500-square-foot Beaux Arts landmark to an undisclosed buyer for roughly \$2,000 per square foot. The building is empty. Fotografiska, the Swedish photography museum that took the entire space in 2017, left last year.

Rosen bought the property for \$50 million in 2014 and invested heavily in mechanical systems and elevators. He tried to sell in 2022 for \$135 million. That deal never closed. The gap between \$135 million and \$81.5 million is not a negotiation. It is a market signal about what vacancy does to basis. Compare the comp.

Olmstead Properties bought 373 and 381 Park Avenue South last year for \$104 million, or about \$300 per square foot. Those buildings are occupied. Rosen's building is empty and requires a new tenant, a new use, or a new capital plan. The \$2,000-per-foot price is a premium to the neighborhood comp, but it is a 40 percent discount to Rosen's own 2022 ask.

That is the cost of carrying an empty landmark through a cycle where office demand is narrow and tenant improvement costs are high. The buyer is unknown. The New York Post reports it is not Anna Sorokin, the con artist who tried to lease the building in 2017 for a private club. That detail is entertaining but irrelevant to the capital markets read.

What matters is that a buyer emerged at a price that clears. The building has been marketed by Avison Young and Ryan Serhant. The fact that a deal exists at all suggests that the bid for empty trophy assets has a floor, but only after the seller accepts that the 2022 valuation is unreachable. Rosen is not selling because he lost faith in the building.

He is selling because the building is generating no income, the carry costs are real, and the market is finally producing a bid at a price that lets him exit with a modest gain over his 2014 purchase. The \$50 million basis gave him room to absorb the discount. A seller who bought at the 2014 peak or later would not have that cushion.

The transaction reveals something about liquidity for empty office assets. Capital is available, but only at prices that reflect the cost and risk of re-leasing. The buyer is not paying for Fotografiska's rent. The buyer is paying for the building's structure, location, and optionality. The \$81.5 million price implies that the buyer believes the re-leasing story is credible, but not at a premium that assumes it is easy. Who benefits?

The buyer gets a landmark at a basis that allows for a patient leasing campaign. Rosen gets liquidity and a clean exit from a non-core asset. The brokers get a comp that shows empty buildings can trade, which matters for a market where vacancy is the defining problem. Who is exposed? Any owner of an empty or nearly empty office building who bought in the 2015-2019 cycle and needs to sell.

The comp suggests that the bid exists, but only at a steep discount to peak. Sellers who cannot absorb that discount will hold, and holding empty buildings in a high-rate environment is expensive. The deal is not proof that office is back. It is proof that repriced office can trade. The difference is the entire market.

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